

Exit-Readiness Action Plan

Exit-Ready Asset — Your Business Is Built to Sell

Key-Person Dependency:  15% LOW RISK

Your business has the systems, documentation, and management layer that buyers pay a premium for. Low key-person risk, automated compliance, real-time margin visibility — this is exactly what acquirers want to see. You've done the hard work of building a sellable asset. Now it's about maximising that multiple and preparing the transition so you walk away with the result you deserve.

THE DESTINATION: WHAT A SYSTEMISED BUSINESS FEELS LIKE

Picture this. It's a Tuesday morning in January. You're at the beach with your kids. Your phone stays in your pocket — the jobs are scheduled, the crew knows exactly what to do, compliance certificates are filing themselves, and invoices are going out at job completion. Nobody is calling because nobody needs to. The business is running on systems — not on you. When the time comes to sell, a buyer looks at your operation and sees a well-oiled machine: documented workflows, predictable margins, a trained team, and a business that doesn't miss a beat whether the owner is in the office or on a plane to Bali. They pay a premium because they're buying a business, not a job. Electrical contractors just like you make this transition every year. The ones who succeed all do three things.

YOUR DIAGNOSIS

You've successfully decoupled your time from business revenue. Low key-person risk, automated compliance, real-time margin visibility, and a management layer that runs without you — this is exactly what buyers want to see. Your business is an attractive, high-multiple acquisition target. At this stage, the work shifts from building systems to optimising for exit: maximising recurring revenue, getting a professional valuation, and preparing the leadership transition plan that lets you walk away clean.

YOUR TOP 3 PRIORITY ACTIONS (AND THE RESULT YOU GET)

1. Maximise recurring revenue to boost your EBIT multiple

Every percentage point of recurring revenue — maintenance contracts, monitoring subscriptions, service agreements — adds measurable value to your exit multiple. A business with 20%+ recurring revenue can command 3–4x EBIT vs 2–2.5x for comparable project-only businesses. ServiceM8's scheduling engine makes recurring job management automatic.

→ **Result:** The difference between 15% and 25% recurring revenue could be hundreds of thousands at exit. Every contract you add now pays twice — once in cash flow, once in sale price.

2. Get a professional valuation to benchmark your exit number

Engage a business broker with specific trade business experience. They'll assess your ServiceM8 records, financials, customer concentration, and growth trajectory to establish a defensible valuation. Knowing your number lets you negotiate from strength and identify gaps before a buyer does.

→ **Result:** You walk into negotiations with data, not hope. A professional valuation is your anchor — buyers can't lowball what's been independently verified.

3. Prepare your 3-year transition plan for leadership and key accounts

Even an exit-ready business needs a handover. Document the transition timeline: when key accounts get introduced to new management, when supplier relationships transfer, when you step back from daily operations. A clean 12–36 month transition plan is the difference between a good exit and a great one.

→ **Result:** You exit on your terms, on your timeline. The business transfers smoothly, key relationships stay intact, and you walk away with the full value you built.

Continue Reading on TradieAutomate:

- 1 [How to Sell Your ServiceM8-Based Trade Business for Maximum Value](#)
- 2 [The Modern Trade Tech Stack — Chapter 8 of The Sparky's Playbook](#)
- 3 [Scaling Your Electrical Business — Chapter 11](#)

Ready to systemise your business?

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14-day free trial. No credit card. Unlimited staff.

This action plan is a starting point. For the complete 12-chapter system covering licensing, cash flow, tech stack, hiring, and building a business worth selling — download [The Sparky's Playbook](#) (free)